BACKGROUND REFERENCE

Context

Historical material retained for completeness; determine relevance from substance.

Historical Context

Background Reference 2 is retained as a dated historical record describing an earlier operating, legal, valuation, or financing context.

Its facts may explain chronology or terminology but require reconciliation to current source-of-record documents before use in a transaction conclusion.

The record identifies its original audience, preparation date, source materials, known limitations, and the later documents that replaced or supplemented it.

Contemporaneous summaries, attachments, and follow-up correspondence are indexed separately so the reviewer can distinguish original evidence from later interpretation.

1. Status of this note and why it is filed here

This note on the warehouse automation landscape was written on 2022-08-05 by an associate at the company's then financial adviser, for the audience of the company's board ahead of a strategy discussion. It was attached as an exhibit to a board pack and has been retained with the legal materials for that reason rather than because it has any legal content; a reader looking for the current market view should not expect to find it in this folder.

The note is superseded. It was written before two of the categories it describes had merged in practice, and before the entrants it lists as early stage had either raised substantially or ceased trading. It is retained because the board minute for the strategy discussion refers to it by name, and a reader reconstructing that discussion needs to be able to see what the board was looking at.

The author's covering note recorded that the analysis was prepared quickly, from public sources only, and was not intended to support a valuation or a transaction. That characterisation remains the right one, and the note carries no comparable transaction data, no multiples and no pricing observations for that reason.

2. The categories as the author described them

The note divides the landscape into four groups: providers of complete autonomous vehicles, providers of retrofit and control layers, providers of orchestration software without hardware, and systems integrators who assemble the other three for an operator. The author's point was that the second and third groups were converging, and that the convergence would be decided by whichever group first held the operator relationship.

For each group the author sets out the buyer within a customer organisation, the length of the typical sales process as described by the participants interviewed, and the way each group was then priced. The pricing discussion is qualitative throughout, describing whether a group charged for hardware, for capacity or for a subscription, and the author declined to give ranges on the ground that the sample was too small to support them.

The author identifies the integrators as the group with the least defensible position and the orchestration providers as the group with the most, and records the counter-argument put by two of the interviewees, which was that the integrators held the relationship that mattered. The note leaves the disagreement unresolved and says so.

3. Sources, method, and what the note could not establish

The note was built from published company materials, trade press, two industry conference programmes, and six telephone interviews with operators and vendors. The author states that no interviewee

was a customer of the company, that none of the interviews was recorded, and that the vendor interviewees were selected because they were willing to speak rather than because they were representative.

The author could not establish deployment counts for any vendor, could not verify any vendor's claims about utilisation or uptime, and did not attempt to size the market. Each of those omissions is stated in the note itself, and the author warns against inferring a size from the number of vendors described, since the vendor list was assembled from conference programmes and over-represents companies that market actively.

The author also records that the note was written in the space of two weeks alongside other work, and that a longer engagement would have been scoped differently: it would have surveyed operators rather than vendors, and it would have sought deployment data under confidentiality rather than relying on what vendors publish. The note therefore describes how vendors present themselves, which is a different subject from how the market behaves.

One section of the note was left unfinished. The author intended to describe how operators finance automation projects and how that affects purchasing cadence, and the section carries a heading and two sentences; it was never completed, and no later document at the company covers the topic. A reader should treat the heading as an open question rather than as an omission the author overlooked.

No proprietary or subscription data source was used, and the note therefore contains nothing that would need to be excluded from onward circulation for licensing reasons. The adviser's engagement letter for the work is filed with the board pack and records that the work was performed on that basis at the company's request.

4. Later material that replaced this note

The note was replaced for practical purposes by the commissioned market studies the company obtained in later years, which used defined samples, disclosed their methods and were refreshed on a stated cycle. The table below identifies them. A reader who needs a market view should go to the most recent of those studies and treat this note as background to the board discussion it was written for.

Two propositions in the note have not been revisited by any later document: the author's account of how an operator's procurement function evaluates a retrofit against a replacement, and the observation that the operator relationship rather than the technology decides the convergence. Both are the author's opinion, both are unsourced, and neither should be repeated in a transaction document.

Table 4.1 - Market material prepared after this note

Material	Dated	Author	Method disclosed	Status of this note against it
Commissioned automation market study, first edition	2024-03-12	External research provider	Yes, with sample definition	Superseded on market structure
Commissioned automation market study, refresh	2025-10-09	External research provider	Yes, with sample definition	Superseded on all market content
Competitive positioning review for the board	2025-12-03	Corporate development	Partly	Superseded on competitor identification
Customer win and loss analysis	2026-01-22	Commercial operations	Yes	Superseded on buyer behaviour